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General insurance sector records flat growth in 2020, supporting Singapore's post-pandemic recovery efforts a key focus for the year ahead

Vital sector and development initiatives continue to make significant progress, ensuring accessible protection amid changing needs as focus on digital shift continues

SINGAPORE, 18 March 2021 – The General Insurance Association of Singapore (GIA) today announced that the sector recorded flat growth for 2020, with a marginal 0.2 per cent decrease in gross written premiums, amounting to S$4.09 billion as at 31 December 2020. The sector also recorded an underwriting profit of S$237.3 million.

While COVID-19 has undoubtedly impacted the sector in 2020, the strongest business implications were felt during the circuit breaker period. Motor and Travel claims saw a decrease in 2020 following an improvement in the overall road traffic situation during the circuit breaker period and suspension of key activities in air travel.

As measures and restrictions progressively eased in the second half of the year, key economic and social activities regained traction and the sector is expected to observe a gradual return to pre-pandemic performance further into 2021. For example, based on latest statistics[1], the number of accident reports made monthly are back to >80% of December 2019 levels.

Throughout Singapore's phased reopening, general insurers have played a key role in enabling Singapore's economic recovery by keeping insurance accessible and supporting Singaporeans when they need protection the most.

	Gross Written Premium (S$'000)	Market Share (%)
Motor	1,124,513	27.5%
Health	692,716	16.9%
Property	591,785	14.5%
Employer's Liability	381,456	9.3%
Marine Hull	185,677	4.5%

Figure 1: Gross written premiums and market share of the top five segments

	Underwriting Performance FY2019 (S$'000)	Underwriting Performance FY2020 (S$'000)	Increase / (Decrease) (S$'000)
Motor	(17,437)	104,529	121,965
Health	(11,194)	17,872	29,066
Property	(3,945)	43,733	47,677
Employer's Liability	(7,345)	40,997	48,342
Marine Hull	(45,527)	7,101	52,628

Figure 2: Underwriting performance across the top five segments

[1] GIA Record Management Centre Accident Report Statistics

GIA's key initiatives for 2020 were geared towards accelerating economic recovery. Since November, the sector, in partnership with the Changi Airport Group (CAG) and Singapore Tourism Board (STB), has been facilitating the resumption of travel to Singapore and helping Singapore maintain its position as an air-transport and business hub. General insurers are steadily developing timely insurance products designed for both outbound and inbound travelers. To support customers further, the Association has also rolled out flexible premium installment payment plans, which have been extended to policyholders till 31 December 2021.

"In our fight against COVID-19, the crisis has reminded us of the power of collaboration in finding solutions to ensure Singaporeans remain protected during this difficult period. General insurers have remained resilient and agile in response to addressing changing protection needs and evolving risks, further endorsed by the findings of our recent consumer survey, in partnership with YouGov. The only way forward for us is to continue what we started—proactively driving progress and innovation for our industry to propel Singapore towards its eventual recovery and ensuring insurance remains accessible when people need it most," said Mr. Craig Ellis, GIA President.

New Opportunities amid changing protection needs

Conducted among a representative sample of 1,000 respondents in Singapore, the survey revealed new areas for general insurers to address. Usage-based insurance (42%) and COVID-19 insurance (41%) surfaced as the topmost unmet needs sought by respondents. More than one in four (28%) also deemed the hospital cash insurance as the most important benefit within the next 12 months.

Amid increasing digitalisation, where a growing trend to get general insurance products online has been observed, most—even among the younger, digitally savvy generation—still prefer to purchase general insurance through insurance agents and brokers, suggesting a preference for human touch for more complex needs.

Driven by these learnings as well as the rise of emerging threats such as cyber risks and climate change, general insurers remain committed to pursuing innovation and collaboration towards a stronger and more progressive sector.

Motor insurance: On the road to improving safety as traffic accidents normalise

The motor insurance segment observed a 0.7% increase to S$1.13 billion, in gross written premiums and recorded an underwriting profit of S$104.5 million in 2020. In the previous year, the segment recorded S$1.12 billion in gross written premiums and an overall underwriting loss of S$17.4 million.

The overall number of traffic accidents fell during the circuit breaker period, amid the directive to stay at home, and is reflected in the segment's 2020 performance. With normal traffic patterns returning and an uptick in motor accident reports being recorded, GIA will continue to support efforts to promote road safety and facilitate a more seamless accident reporting process to protect motorists.

In November, the Association launched the GIA Easy Accident Reporting System (GEARS) equipped with new features to ensure the secure and convenient payment and delivery of accident reports. GIA also continues to support the Singapore Road Safety (SRSC) and Singapore Traffic Police to promote engagement and awareness of safety amongst road users.

Health insurance: Extending support and flexibility to Singaporeans during a global pandemic

Overall, the health insurance segment recorded S$692.7 million in gross written premiums for the financial year, a 3.9% increase compared to the previous year, with underwriting profit at S$17.9 million.

COVID-19 heightened awareness about adequate protection and compelled consumers to prioritise health insurance even more during the pandemic.

GIA, in a cross-sector alliance between Singapore's healthcare and insurance sectors including the Life Insurance Association Singapore (LIA) and the Integrated Health Information Systems Pte Ltd. (IHiS), has recently announced a call for proposal for technology solution providers to develop a unified end-to-end health insurance system to improve patient experience. In 2020, the Association also worked with stakeholders including LIA and the Ministry of Health (MOH) to roll out measures such as the coverage of outpatient telemedicine claims as well as hospital cash benefit claims for COVID-19 patients admitted to a community care facility (CCF) or a community recovery facility (CRF) that help ease the financial strain on individuals and small businesses.

Property: Changing capacity and rates
Property insurance observed a 10% increase, or S$591.8 million, in gross written premiums and recorded an underwriting profit of S$43.7 million in 2020. In 2019, the segment saw S$538 million in gross written premiums and noted an underwriting loss of S$22.4 million. Figures reported by the sector can be attributed to downward adjustments in market capacity and the impact of changing rates.

Employers' liability insurance: Rise in workplace accidents a worrying trend that calls for coordinated efforts to enhance protection for workers
Employers' liability insurance recorded S$381.5 million in gross writing premiums in 2020, a 4.3% increase from last financial year's S$365.6 million, with underwriting profit at S$41 million.

While the suspension of certain workplace activities in the first half of 2020 caused workplace injuries to fall significantly[2], the number of workplace accidents began to rise since the circuit breaker was lifted[3]. The GIA shares the Government's concern regarding these figures which set a worrying trend for the year.

Changes to the Work Injury Compensation Act (WICA) 2019 took effect in 2020, introducing increased compensation levels which in turn led to some increase in premiums.

Other segment updates

- For travel insurance, gross written premiums in 2020 decreased by 72.8%, or S$57.5 million, compared to S$211.4 million the year before. The segment recorded an underwriting profit of S$5.2 million in 2020. Segment performance reflects the pandemic's immediate impacts on travel restrictions.

- For personal accident insurance, the segment observed a 5% decrease in premiums to S$167.9 million, recording an underwriting profit of S$28.1 million.

Collaborating towards the future
The sector recognises the importance of meeting the country's environmental and sustainability goals. As a strategic partner of the Green Finance Industry Taskforce (GFIT) — a collective aimed at making recommendations, proposing solutions, and supporting implementation of Singapore's green finance ecosystem—the Association will be supporting the relevant publication and socialisation of GFIT deliverables within its network. In addition, GIA is working towards the Global-Asia Insurance Partnership to address new risks, with an initial focus on pandemic and climate risks.

With cyber risks a looming threat for newly digitised individuals and businesses, dialogues and initiatives with members, regulators, and stakeholders are in place to address these growing perils.

[2] Workplace Safety and Health Report January – June 2020: https://www.mom.gov.sg/-/media/mom/documents/safety-health/reports-stats/wsh-national-statistics/wsh-national-stats-2020.pdf
[3] The Straits Times: https://www.straitstimes.com/singapore/seven-deaths-from-workplace-accidents-in-february-alone-prompting-call-for-safety-time-out

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Amid the ongoing roll-out of COVID-19 vaccines and the gradual easing of certain challenges faced in 2020, the sector remains optimistic and determined to help steer Singapore towards post-pandemic recovery. Through ongoing collaborations, general insurers are committed to meeting consumers' emerging needs and ensuring that protection remains accessible to all.

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Established in 1966, the General Insurance Association of Singapore (GIA) is the general insurance industry's trade association whose membership comprises Ordinary Members licensed by the Monetary Authority of Singapore (MAS) to transact general insurance business in Singapore.

As a trade association, GIA works to make all aspects of insurance easier and more effective for consumers, agents and insurance companies in Singapore. It helps identify emerging trends and responds to issues affecting the general insurance industry and seeks to promote the overall growth and development of the sector in Singapore.

For more information: www.gia.org.sg

For a list of general insurance companies: https://gia.org.sg/consumers/about/member-directory.html

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Appendix

Singapore Insurance Fund (Domestic)
Year-to-date (YTD) as of 31 December 2020

A. Gross Written Premiums *(S$'000)*

SEGMENT	2020	2019	Inc/(Decr)	Variance (%)
Motor	1,124,513	1,116,684	7,829	0.7%
Health	692,716	666,824	25,891	3.9%
Property	591,785	538,161	53,624	10.0%
Employers' Liability	381,456	365,597	15,859	4.3%
Others	195,818	196,824	(1,006)	(0.5%)
Marine Hull	185,677	163,396	22,282	13.6%
Personal Accident	167,895	176,799	(8,904)	(5.0%)
Professional Indemnity	157,797	141,661	16,136	11.4%
Public Liability/Product Liability	154,163	135,478	18,685	13.8%
Engineering	133,120	103,005	30,115	29.2%
Surety	104,411	117,337	(12,926)	(11.0%)
Cargo	93,538	100,275	(6,737)	(6.7%)
Travel	57,475	211,364	(153,889)	(72.8%)
Credit/Credit-Related	41,599	56,994	(15,395)	(27.0%)
Aviation Hull	6,400	5,262	1,137	21.6%
TOTAL	4,088,363	4,095,662	(7,299)	(0.2%)

B. Underwriting Profit/(Loss) *(S$'000)*

SEGMENT	2020	2019	Inc/(Decr)	Variance (%)
Motor	104,529	(17,437)	121,965	n.m.
Property	43,733	(3,945)	47,677	n.m.
Employers' Liability	40,997	(7,345)	48,342	n.m.
Personal Accident	28,116	17,222	10,895	63.3%
Health	17,872	(11,194)	29,066	n.m.
Cargo	16,137	17,290	(1,153)	(6.7%)
Public Liability/Product Liability	12,224	36,637	(24,413)	(66.6%)
Marine Hull	7,101	(45,527)	52,628	n.m.
Engineering	5,546	(897)	6,443	n.m.
Travel	5,156	(3,404)	8,560	n.m.
Others	4,363	8,429	(4,066)	(48.2%)
Aviation Hull	101	281	(181)	(64.2%)
Professional Indemnity	(931)	(16,248)	15,317	94.3%
Credit/Credit-Related	(21,995)	1,632	(23,626)	n.m.
Surety	(25,614)	(3,522)	(22,092)	(627.2%)
TOTAL	237,333	(28,029)	265,362	n.m.

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Offshore Insurance Fund

Year-to-date (YTD) as of 31 December 2020

A. Gross Written Premiums *(S$'000)*

SEGMENT	2020	2019	Inc/(Decr)	Variance (%)
Property	1,789,482	1,489,698	299,784	20.1%
Liability and Others	532,312	551,305	(18,993)	(3.4%)
Marine Hull	360,145	339,280	20,865	6.1%
Cargo	254,809	210,174	44,634	21.2%
Engineering	204,169	175,436	28,733	16.4%
Motor	57,696	95,068	(37,372)	(39.3%)
Aviation Hull	52,033	47,632	4,400	9.2%
TOTAL	3,250,646	2,908,595	342,051	11.8%

B. Underwriting Profit/(Loss) (S$'000)

SEGMENT	2020	2019	Inc/(Decr)	Variance (%)
Marine Hull	20,921	(50,793)	71,714	n.m.
Motor	5,137	(6,835)	11,972	n.m.
Aviation Hull	(537)	5,027	(5,565)	n.m.
Cargo	(5,775)	10,728	(16,503)	n.m.
Liability and Others	(30,552)	7,768	(38,320)	n.m.
Engineering	(46,823)	(36,681)	(10,141)	(27.6%)
Property	(51,113)	85,706	(136,820)	n.m.
TOTAL	(108,742)	14,921	(123,663)	n.m.

**Not Meaningful (n.m.)*